

At issue, OID and interest coupons are equivalent. The issuer can trade off paying a higher coupon with a steeper discount. Thus if the interest is tax exempt, the OID must also be tax-exempt. Issuers take advantage of this equivalence of OID and interest: in muni-land, only about 10% of straight bonds are par bonds, whereas the great majority of corporate bonds are issued at par.<sup>8</sup>

Individuals are the main holders of municipal bonds. Figure 12.1 plots the holdings of municipal bonds using data from the flow of funds from 1952 to 2012. Household holdings include both direct holdings and indirect holdings through mutual funds, exchange-traded funds (ETFs), and closed-end funds (see chapter 16). Households hold close to 80% of munis and have done so since the early 1990s. Of this 80%, about half is directly held and 30% is held indirectly. Banks used to own up to 50% of munis in the 1970s, but since most of their tax breaks for holding munis were eliminated, bank holdings of munis have been below 10%.<sup>9</sup>

Individuals benefit from holding munis because they pay no income tax on muni interest or OID. Consequently, an individual holding a muni bond is willing

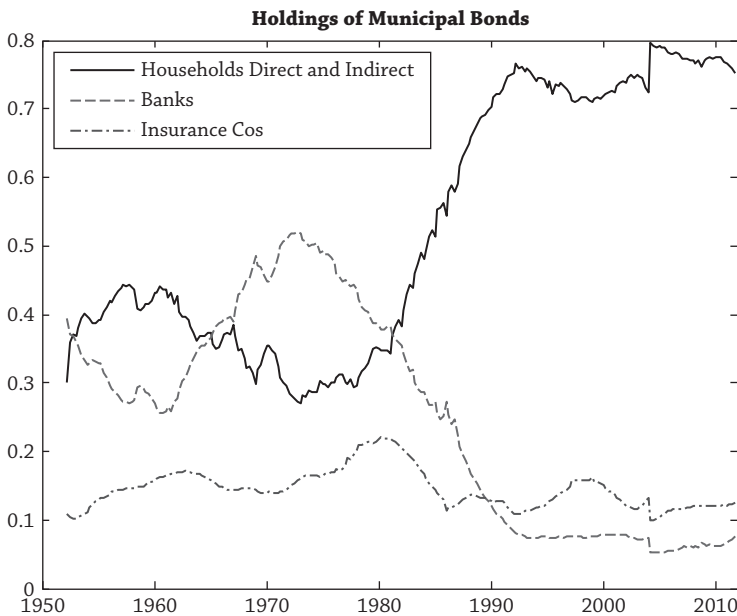


Figure 12.1

<sup>8</sup>See Ang, Bhansali, and Xing (2010b, Table 1).

<sup>9</sup>There are still bank-qualified muni issues, which are restricted to issues less than \$10 million in size. Banks can tax deduct 80% of the carrying costs of these munis. The 2009 Recovery Act temporarily allowed banks to deduct 80% of the carry costs up to 2% of the bank's total assets (this is called the 2% de minimus rule) for a much wider set of bonds and raised the \$10 million bank qualified size limit to \$30 million.